COVER SHEET

CS200719819

SEC Registration Number

PXP ENERGY CORPORATION

(Company's Full Name)

2F LAUNCHPAD RELIANCE
CORNER SHERIDAN STREETS
MANDALUYONG CITY 1550

(Business Address: No. Street City/Town/Province)

Mark Rilles

(Contact Person)

631-1381 to 88

(Company Telephone Number)

12 **31**

Month *Day*

(Calendar Year)

SEC 17-Q

(Form Type)

3rd Tuesday of May

Month *Day*

(Annual Meeting)

Not Applicable

(Secondary License Type, If Applicable)

Dept. Requiring this Doc.

Not Applicable

Amended Articles Number/Section

Total Amount of Borrowings

Total No. of Stockholders

Domestic

Foreign

To be accomplished by SEC Personnel concerned

File Number

LCU

Document ID

Cashier

STAMPS

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SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended **September 30, 2025**

2. Commission identification number: **CS200719819** 3. BIR Tax Identification No.: **006-940-588-000**

4. Exact name of issuer as specified in its charter: **PXP ENERGY CORPORATION**

5. Province, country or other jurisdiction of incorporation or organization: **Philippines**

6. Industry Classification Code: [ ] (SEC Use Only)

7. Address of issuer's principal office: **2/F LaunchPad, Reliance cor. Sheridan Sts., Mandaluyong City**
Postal Code: **1550**

8. Issuer's telephone number, including area code: **(632) 8631-1381**

9. Former name, former address and former fiscal year, if changed since last report:

N/A

10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class	Number of shares of common stock outstanding and amount of debt outstanding
Common Shares	**₱2,390,243,903**
Debt	**104,753,000**

11. Are any or all of the securities listed on a Stock Exchange?

Yes [/] No [ ]

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

Philippine Stock Exchange **Common shares**

12. Indicate by check mark whether the registrant:

(a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes [/] No [ ]

(b) has been subject to such filing requirements for the past ninety (90) days.

Yes [/] No [ ]

PART I--FINANCIAL INFORMATION

Item 1. Financial Statements.

The Unaudited Consolidated Financial Statements as of and for the 9-month period ended September 30, 2025 are hereto attached.

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations.

Financial Performance

For the nine months ended September 30, 2025, consolidated petroleum revenues amounted to ₱50.3 million (9M2024: ₱64.8 million). The variance primarily reflects weaker market conditions, with a 13.5% decline in sales volume from three liftings totaling 414,124 barrels (9M2024: 478,999 barrels) and a 13.8% decrease in the average realized crude price to US$70.0/bbl (9M2024: US$81.2/bbl). Production from SC 14C-1 (Galoc) remained operationally stable notwithstanding late-life field characteristics. Revenues were recognized through Forum Energy Limited (“Forum”), a 98% directly and indirectly owned subsidiary, corresponding to its 3.21% participating interest in the Galoc field.

Consolidated costs and expenses totaled ₱84.2 million (9M2024: ₱78.2 million). Within this, petroleum production costs were slightly lower at ₱40.7 million (9M2024: ₱41.2 million), while general and administrative expenses increased to ₱43.6 million (9M2024: ₱37.0 million), mainly due to a non-recurring overhead item of a foreign subsidiary. Excluding this one-off, the Group’s cost run-rate remained broadly comparable with the prior period.

Net other charges for the period were ₱5.8 million (9M2024: ₱1.3 million), driven by higher net interest expense of ₱4.9 million (9M2024: ₱2.3 million) and foreign exchange losses of ₱1.2 million (9M2024: forex gain of ₱1.0 million) following an increase in Notes Payable. As a result, the Group recorded a consolidated net loss of ₱39.8 million (9M2024: ₱14.8 million). Net loss attributable to equity holders of the Parent was ₱37.9 million (9M2024: ₱16.7 million), translating to basic/diluted loss per share of ₱0.0159 (9M2024: ₱0.0085). Core net loss, which excludes non-recurring items, stood at ₱32.8 million (9M2024: ₱17.8 million).

In the third quarter of 2025, consolidated operating revenues were ₱17.1 million (3Q2024: ₱21.9 million), reflecting the combined impact of a lower effective realized price of US$69.9/bbl (3Q2024: US$79.5/bbl) and a reduced lifted volume of 133,382 barrels (3Q2024: 169,801 barrels). Quarterly costs and expenses were flat at ₱29.2 million (3Q2024: ₱29.1 million) as petroleum production costs declined to ₱12.0 million (3Q2024: ₱15.0 million) offset by higher general and administrative expenses of ₱17.2 million (3Q2024: ₱14.2 million) due to a non-recurring overhead item of a foreign subsidiary. Net other charges for the quarter totaled ₱4.0 million (3Q2024: ₱0.3 million), reflecting higher interest expense and foreign exchange losses in line with the increase in Notes Payable.

Consequently, the Group posted a consolidated net loss of ₱16.1 million for the quarter (3Q2024: ₱7.6 million). Net loss attributable to equity holders of the Parent was ₱15.2 million (3Q2024: ₱7.5 million), or ₱0.0063 per share (3Q2024: ₱0.0038). Core net loss for the quarter was ₱11.7 million (3Q2024: ₱8.3 million).

The foregoing results principally reflect market-driven movements in realized crude prices, together with financing and currency effects, while underlying field operations and recurring cost discipline remained largely intact aside from the identified non-recurring overhead.

A consolidated net loss of ₱16.1 million (3Q2024: ₱7.6 million) was incurred during the current period following lower average crude price and decline in sales output in Galoc liftings, lower petroleum production costs offset by the increase in overhead, increase in interest expense and foreign exchange losses. As such, net loss attributable to equity holders of the Parent amounted to ₱15.2 million (3Q2024: ₱7.5 million), with basic/diluted loss per share amounting to ₱0.0063 (3Q2024: ₱0.0038). Core net loss, during the 3-month period stood at ₱11.7 million (3Q2024: ₱8.3 million).

Financial Position

As at September 30, 2025, the Company's total assets stood at ₱3.184 billion (December 31, 2024: ₱3.191 billion). Total current assets declined to ₱90.1 million (December 31, 2024: ₱ 124.7 million) as Cash and cash equivalents decreased by ₱33.9 million, reflecting payments for Galoc operating costs, disbursements for Service Contracts ("SCs"), and overhead. Trade and other receivables increased to ₱24.5 million (December 31, 2024: ₱17.2 million) due to oil receivables from the most recent crude oil sale, while Inventories related to crude oil storage declined from ₱7.1 million to nil. Noncurrent assets increased to ₱3.094 billion (December 31, 2024: ₱3.066 billion), principally on higher Deferred exploration costs of ₱2.826 billion (December 31, 2024: ₱2.799 billion), reflecting incremental SC activity and foreign currency translation effects.

Current liabilities rose to ₱126.3 million (December 31, 2024: ₱90.1 million), driven by a ₱35.3 million increase in Notes payable following an additional US$600 thousand interest-bearing shareholder loan and foreign currency translation adjustments. Total noncurrent liabilities inched up to ₱397.1 million (December 31, 2024: ₱396.0 million) due mainly to foreign currency movements. Consequently, total liabilities increased to ₱523.4 million (December 31, 2024: ₱486.1 million), reflecting a ₱36.2 million rise in current liabilities and a ₱1.1 million increase in noncurrent liabilities.

As of September 30, 2025, total equity was ₱2.661 billion (December 31, 2024: ₱2.704 billion). Capital stock increased to ₱2.390 billion following the issuance of 430.24 million common shares to Tidemark Holdings Limited on March 18, 2025 at ₱3.62 per share in exchange for 24.13 million FEL shares (the "Share Swap Transaction"). As a result, PXP's effective interest rose to 97.9% in FEL and 68.5% in SC72, and Tidemark became a shareholder with 18.0% in PXP. Post-transaction, Additional paid-in capital increased to ₱3.926 billion (December 31, 2024: ₱2.817 billion); Equity reserves moved to negative ₱724.6 million (December 31, 2024: positive ₱411.5 million); and Cumulative translation adjustment was ₱573.9 million (December 31, 2024: ₱574.6 million). Deficit widened from ₱3.579 billion to ₱3.617 billion, reflecting the net loss attributable to the Parent of ₱37.9 million during the period. Non-controlling interests totaled ₱112.1 million (December 31, 2024: ₱520.4 million) due to the Share Swap Transaction and the weaker Philippine peso at US$1=₱58.20 (December 31, 2024: US$1=₱ 57.85).

Cash Flows

As of September 30, 2025, ending cash was ₱57.5 million, broadly aligned with management's forecast and reflecting a steady burn rate under disciplined spending.

Operating activities used ₱35.3 million (9M2024: ₱28.3 million), reflecting continuing overhead and interest expense amid minimal production from Galoc and the absence of other active revenue-generating assets.

Investing activities resulted in a net outflow of ₱13.3 million (9M2024: ₱16.9 million), mainly related to limited activity on oil and gas assets and mandatory payments to SC regulators.

Financing activities provided ₱20.1 million (9M2024: ₱nil), driven by additional interest-bearing shareholder advances, which served as the primary liquidity source for operating and working capital needs given limited production income. These inflows were partly offset by cash outlays related to the issuance of new shares and the acquisition of non-controlling interests arising from the March 2025 Share Swap Transaction, which strengthened the Group's consolidated ownership and capital base with minimal cash outlay.

Effects of exchange rate changes on cash and cash equivalents amounted to an outflow of ₱5.4 million (9M2024: inflow of ₱138 thousand).

Overall liquidity remains tight but adequate, supported by prudent cash management, the absence of third-party bank borrowings, and continued shareholder funding to sustain essential activities.

TOP FIVE (5) KEY PERFORMANCE INDICATORS

1) Enhance Value of Assets

Maturing assets from the exploration to the development and production phases enhances the value of the Company's assets.

The key activities which were aimed at enhancing asset value, include:

SC No. 72

On October 11, 2022, the DOE acknowledged the force majeure declaration for SC 72, confirming that it would remain in effect until lifted. The DOE also stated that expenses incurred due to the suspension would form part of the approved recoverable costs, pending audit, and that all work done since the previous force majeure was lifted in 2020 had been nullified. As a result, SC 72 was granted an extension of the exploration period, equal to the number of days spent preparing for the suspended activities.

On March 20, 2023, the DOE further affirmed that the entire period from the previous lifting of force majeure on October 14, 2020, to its re-imposition on April 6, 2022, will be credited back to SC 72. Consequently, once the force majeure is lifted, Forum (GSEC 101) Limited ("FGL"), the SC 72 Operator, will have 20 months to drill the two (2) commitment wells, which is equivalent to the remaining term of the second Sub-Phase ("SP") before October 14, 2020.

FGL continues to coordinate with the DOE on the resumption of exploration activities in SC 72.

SC No. 75

On October 11, 2022, the DOE acknowledged the force majeure declaration, confirming that it would remain in effect until officially lifted. It also stated that expenses incurred due to the suspension would form part of the approved recoverable costs, pending audit, and that an extension, equivalent to the time lost, was granted.

On March 20, 2023, the DOE further clarified that the entire period from October 14, 2020 to April 6, 2022, would be credited back to SC 75. Once the force majeure is lifted, PXP will have 18 months to complete the seismic data acquisition, aligning with the remaining term of SP 2 before October 2020.

PXP continues to coordinate with the DOE on the resumption of exploration activities in SC 75.

SC No. 40

In June 2022, Forum Exploration, Inc. (“FEI”) contracted a drilling consultant to prepare drilling programs and budgets for two (2) wells, one of which is located in the Dalingding Prospect, a reef structure defined by seismic with the Late Miocene to Pliocene-age Barili Limestone as the primary target. A well, Dalingding-1, was drilled on this structure in 1996 and was plugged and abandoned as a dry hole with minor gas shows after reaching a total depth of 1,508 ft. FEI’s re-evaluation of the prospect concluded that the Dalingding-1 well did not reach the Barili target, which is currently estimated to be at 1,830 ft, or 480 ft below the well’s final depth. A new well is proposed to be drilled down to 2,760 ft to reach the Barili Limestone.

An independent technical evaluation involving a review of available data, project risking, and project economics of the Dalingding Prospect was completed during the first quarter of 2024. The results indicate that deterministic and probabilistic volumetric estimates for the prospect show mean resources of 10 billion cubic feet (“BCF”) for a Gas Case and 3.5 million barrels of oil (“MMBO”) for an Oil Case.

In early 2024, the DOE approved FEI’s proposal to conduct a magnetotelluric (“MT”) survey to further evaluate the Dalingding Prospect. The survey aimed to define the top of the carbonate buildup and help determine its depth from the surface.

MT equipment testing and data acquisition in Daanbantayan, Cebu commenced on June 14, 2024, and was completed on September 2, 2024. A total of 30 stations were acquired on two (2) parallel lines oriented in a NW-SE direction, and 20 stations on one (1) perpendicular line oriented in a NE-SW direction.

On December 23, 2024, the proposed WP&B for 2025 was submitted to the DOE. It has a firm program that includes the continuation and finalization of the MT survey data processing and interpretation, as well as the technical re-evaluation of the Dalingding Prospect, wherein the MT data will be integrated with existing geological, geophysical, and well data.

The evaluation of the MT data was completed in April 2025. The results successfully mapped the presence of a reef boundary, presumably the Barili Limestone, identified through sharp resistivity contrasts with surrounding formations. However, the interpreted reef depth and thickness of the overlying seal vary, possibly due to data interpolation effects, as a significant amount of cultural noise had to be removed during the interpretation process.

A data integration study was carried out by FEI following receipt of the MT report; which was completed in June 2025. The subsurface resistivity data derived from the MT method show that resistivity can vary laterally within a formation, reflecting the differences in its physical properties. When combined with other geophysical methods, MT data can provide a more comprehensive understanding of subsurface geology. The study also concludes that, while seismic remains the primary tool for defining prospect structures, MT-derived resistivity can aid in predicting porosity and fluid type within seismically delineated geologic bodies. By integrating data from multiple geophysical tools and sources, the porosity distribution on the Barili Limestone surface was successfully estimated and mapped.

Octon Block (formerly SC No. 6A)
SC 6A had an original term set to expire on February 28, 2024, leaving the Consortium with limited time to drill an exploratory well and to develop a field in case of a commercial discovery. In view of this, the Consortium decided to surrender the contract effective March 31, 2021, and subsequently re-apply for a new contract under the Philippine Conventional Energy Contracting Program (PCECP) through area nomination.

The DOE approved the surrender on September 5, 2022. Then, on March 17, 2023, The Philodrill Corporation ("Philodrill"), as the Operator and on behalf of the Consortium, submitted the SC application to the DOE. Consortium members PXP and FEPCO will each hold a participating interest of 6.8439%.

On May 15, 2023, the DOE, in its preliminary review, confirmed the completeness of the technical, legal, and financial documents submitted by the JV in support of the SC application.

The new SC (no. 86) was awarded on September 30, 2025. The first SP will focus on further subsurface work, in addition to the geological and geophysical ("G&G") studies conducted by the former SC 6A Consortium. These activities aim to establish a final well design and location for the Malajon Prospect and to appraise the Octon Discovery.

Cadlao Block (formerly SC No. 6B)
SC 6B covered an area of 567 sq. km and contains the Cadlao Oil Field. The field was discovered in 1977 and produced about 11 MMBO from two (2) subsea production wells from 1981 to 1991. The remaining recoverable reserves are estimated at 3.7 MMBO for proven reserves ("1P") and 5.7 MMBO for proven plus probable reserves ("2P"), according to a 2012 study by Gaffney, Cline & Associates Inc. Additionally, located near Cadlao is the East Cadlao Prospect, where Philodrill, in 2016, estimated recoverable resources of 1.48 MMBO at the P10 level, and 1.17 MMBO at the P50 level.

In December 2021, Nido submitted a farm-in proposal to the JV to increase its participating interest in SC 6B from 9.09% to 72.727% and take over the operatorship of the license. A farm-in agreement ("FIA") was later executed on February 11, 2022, with FEPCO's interest being reduced to 2.4546% from 8.182%. Under the FIA, Nido will fund 100% of the drilling of a well, Cadlao-4, the conduct of an extended well test ("EWT"), and the subsequent development of the Cadlao Field.

Nido proposes a two-phase redevelopment consisting of:

- Phase 1: A three (3) to nine (9)-month EWT using a new single deviated well (Cadlao-4), a mobile offshore production unit ("MOPU"), and either a floating storage and offloading ("FSO") vessel or a shuttle tanker; and

- Phase 2: Further development of the EWT well and additional wells potentially substituting the MOPU for a small wellhead platform ("WHP") and storage barge.

In April 2022, RISC completed an independent assessment of the Cadlao Field. Overall, RISC supports the redevelopment as an economic opportunity, although costs will have to be carefully controlled.

The Deed of Assignment ("DOA") of Participating Interest to Nido and the revised 2022 Work Program and Budget ("WP&B"), which includes the drilling of Cadlao-4, followed by the conduct of an EWT, were submitted to the DOE on April 11, 2022, with the spud date dependent on rig and FSO unit availability. The DOA was approved on December 19, 2022.

From November 28 to December 1, 2022, Nido conducted a geophysical site survey using the vessel Cassandra VI to assess potential seafloor constraints and hazards for the well location.

On November 15, 2023, Nido and PNOC Exploration Corporation ("PNOC EC") signed an FIA that provides for PNOC EC's acquisition of a 20% participating interest in SC 6B, including sharing the cost of drilling and EWT for the Cadlao-4 well. While PNOC EC's participation was approved by the Consortium, the formal transfer and assignment of the 20% interest from Nido to PNOC EC shall be subject to the approval of DOE.

Nido had initially identified a drillship to drill the Cadlao-4 well, although it still requires equipment modifications. However, due to safety concerns about using a drillship at a water depth of 93.7 m, a jack-up rig is now being considered for both drilling and the EWT. Nido is currently reviewing the contract for the jack-up rig.

In December 2023, the DOE released Department Circular No. 2023-12-0033 (the "Circular") on the awarding of Development and Production Petroleum Service Contract ("DP PSC") through direct negotiations. It took effect on January 3, 2024. The DP PSC covers expiring service contracts but with ongoing production or producible petroleum reserves as validated by the DOE. It will have an initial term aligned with the period necessary to produce the recoverable oil or gas reserves declared in the DOE-approved Plan of Development ("POD"). The contract may also be subject to renewal for an additional period based on mutually agreed upon terms and conditions.

On January 5, 2024, the SC 6B Consortium sent to DOE its letter of intent to apply for a DP PSC before the expiration of the SC 6B production term. On January 26, 2024, Nido submitted the application documents over the former SC 6B Block additional open areas. These documents include a copy of the POD for the Cadlao Field. The new SC will replace SC 6B, which expired on February 28, 2024. The Consortium is now awaiting final approval of the application from the Office of the President.

<u>SC No. 14C-1</u>

SC 14C-1 has an area of 164 sq. km and contains the Galoc Oil Field, which has already produced about 25.18 million barrels of oil ("MMBO") since it was put on stream in October 2008.

Gross production for the nine months ended September 30, 2025 averaged 1,111 barrels of oil per day ("BOPD"), representing a 10% decrease compared to 1,239 BOPD recorded for the same period in 2024. Three (3) liftings, totaling 414,124 barrels, were carried out in February, June, and October 2025 at an average realized price of US$69.96 per barrel.

The field's profitability is expected to continue over the next two (2) to three (3) years, subject to effective cost management, operational efficiency, high oil prices, and sustained performance of the remaining production wells, Galoc-5 and Galoc-6. FEPCO has a 3.2103% participating interest in the block.

SC 14C-1 qualifies for the issuance of a new DP PSC, allowing continued production beyond December 2025, the end of the current service contract's term. The application documents for the DP PSC are now with the Office of the President of the Philippines for final review and approval.

SC No. 14C-2

The SC 14 Block C-2 in the Northwest Palawan Basin covers an area of 176.5 sq. km and hosts two main oil-bearing structures, West Linapacan A and West Linapacan B, and several seismic leads. The West Linapacan A Field was discovered in 1990 and produced over 8 MMBO from 1992 before being shut-in in 1996. It is located in 300 to 350 m of water, approximately 60 km offshore from Palawan Island.

On October 20, 2022, Nido, a current member of the SC 14C-2 Consortium, submitted a proposal to drill a well and to conduct an EWT on West Linapacan A in exchange for acquiring an additional 62.721% of the Filipino partners' current participating interest. Under the proposal, Nido will have a post-farm-in interest of 85% while the Filipino partners will retain 15%. On October 28, 2022, the Filipino partners submitted a counter-proposal for sharing the proceeds during production. A draft Farm-in Agreement/Heads of Agreement has been prepared and remains under Nido's consideration.

On December 20, 2024, Philodrill submitted the WP&B for 2025 to the DOE. The firm program includes the preparation of a plan and design study for a new well, West Linapacan A-7, as well as a POD for the West Linapacan A Field. On July 4, 2025, the Consortium commissioned Three60 Energy, the current Operations and Maintenance ("O&M") contractor for the Galoc Field, to prepare the POD, which is expected to be completed by early November 2025.

The current term of SC 14C-2 is set to expire on December 17, 2025. Prior to that date, the Consortium plans to surrender the license and apply for a new service contract, as the block qualifies due to the declared reserves in the West Linapacan A Field.

2) Portfolio Management

Selective acquisitions and divestments help mitigate the risks inherent in petroleum exploration and ensure the alignment of resources with the Company's objectives and strategies.

PXP and FEL have participated in the application for SC 86, which was awarded on September 30, 2025, covering the area of the former SC 6A. The new contract includes a seven-year exploration program that will build on the work undertaken under the previous SC. The original term of SC 6A was set to expire on February 28, 2024, providing the JV limited time to drill an exploratory well and pursue field development in the event of a discovery.

In December 2023, the DOE issued a Circular providing guidelines for the award of DP PSC through direct negotiations. On January 5, 2024, the SC 6B Consortium, which includes FEPCO, submitted to the DOE its letter of intent to apply for a DP PSC prior to the end of the SC 6B production term. The new service contract will replace SC 6B, which was scheduled to expire on February 28, 2024. The redevelopment of the Cadlao Field, which includes the drilling of Cadlao-4 well, constitutes the work commitment under the new service contract.

Both SC 14C-1 Galoc and SC 14C-2 West Linapacan are also expected to benefit from the issuance of the said Circular. The new service contracts will enable the Galoc consortium to continue production beyond December 2025, the end of the SC 14C-1 term. Meanwhile, the West Linapacan Consortium will use the new service contract to further appraise the West Linapacan A Field, which already has third-party certified oil reserves. SC 14C-2 is likewise set to expire in December 2025.

On March 16, 2020, PXP submitted to the DOE all technical, legal, and financial documents in support of its nomination of a block located offshore West Palawan and adjacent to SC 72. On September 14, 2020, DOE opened the bid submitted by PXP and found the SC application documents complete, thus, qualifying them to undergo further legal, technical, and financial evaluation. The bid documents are still under further review by the DOE. Once a SC is granted, the proposed work program for the first sub-phase would include the acquisition of at least 2,200 line-km of 2D seismic data, along with marine gravity and magnetic data.

With the unfavorable results of the different evaluation studies conducted in SC 74, the Consortium led by PXP decided to surrender the Block to the DOE on December 13, 2023. The group also agreed to dissolve the JV, along with the subsequent termination of the Joint Operating Agreement in accordance with Section 2.2.A.3 of the Agreement, once the remaining obligations of the JV under the SC have been settled with the DOE. The DOE approved the relinquishment of SC 74 on July 12, 2024, contingent upon the settlement of the remaining financial commitment, which comprises the scholarship fund.

On August 27, 2024, PXP, in a Consortium with three other companies, submitted the bid documents for PDA-BP-2 and PDA-BP-3 to the DOE and the Ministry of Environment, Natural Resources, and Energy (“MENRE”) of the Bangsamoro Autonomous Region in Muslim Mindanao (“BARMM”). These blocks were among those offered in early 2024 under the 1st BARMM Conventional Energy Bid Round, jointly conducted by the DOE and MENRE. On September 24, 2025, the government awarded SC 80 for PDA-BP-2 and SC 81 for PDA-BP-3.

SC 80 is located in the southwestern part of the Sulu Sea Basin, approximately 200 km from the coast of Borneo. The block covers an area of 7,800 sq. km and water depths ranging from 200 to 3,000 meters in its eastern section. Between 2009 and 2010, ExxonMobil (as Operator), together with BHP Billiton and Mitra Energy as Consortium members, drilled four (4) wells in deeper waters within SC 80. Two of these wells, Dabakan and Palendag, discovered gas in multiple stacked turbidite sands within deepwater thrusted anticline traps.

SC 81, located south of SC 80, has an area of 5,321 sq. km and water depths ranging from less than 100 m in the west to over 3,000 m in the east. The block is covered by 2D and 3D seismic data, and seven 7 wells have been drilled by previous operators. While no commercial discoveries have yet been made in SC 81, hydrocarbon indications were recorded in several wells, and multiple leads have been identified by earlier operators.

During the initial sub-phases of both service contracts, geologic and geophysical studies will be undertaken, including the reprocessing of existing 2D and 3D seismic data using the Pre-Stack Depth Migration (“PSDM”) method.

3) Control of Costs and Expenses

Management continues to emphasize cost containment to preserve liquidity and extend runway, with near-term liquidity supported by shareholder advances.

Excluding one-off items, overhead was broadly in line with plan, reflecting disciplined spending and phased disbursements. General and administrative expenses were ₱43.6 million (9M2024: ₱37.0 million), with the year-on-year increase mainly attributable to a non-recurring overhead item of a foreign subsidiary; absent this item, the underlying cost base was stable. The Group is prioritizing compliance, regulatory commitments, and essential operating needs while deferring non-critical expenditures, with current measures including stricter approval thresholds and shared-services utilization across subsidiaries.

4) Financial Management

The Company addresses funding requirements through regular reviews of cash position and forecasts, with an emphasis on prudent liquidity management.

In February 2025, the Parent Company received confirmation from lenders that they do not expect collection of notes payable totaling US$1.2 million within the next 12 months from December 31, 2024.

In August 2025, PXP obtained additional loans from Philex Mining Corporation (“PMC”) and Kirtman Limited (“Kirtman”), both shareholders of PXP. The drawdowns were US$300,000 each, payable on demand, bearing interest at 6M TERM SOFR (or, if unavailable, the corresponding replacement benchmark) plus 3.5% per annum, payable quarterly in arrears. Proceeds will be used to partially fund the Group’s working capital at least during the next 12 months.

5) Health, Safety and Environment

A commitment to undertake activities without endangering the environment and the health and safety of people is key to maintaining the Company’s license to operate.

Throughout the period, the Company and its subsidiaries reported zero fatalities, COVID-19 cases, or environment-related incidents demonstrating our commitment to safety and responsibility. The Company regularly submits quarterly accident statistics reports to the DOE in compliance with the agency’s DC No. 2020-04-0010, also known as the Upstream Petroleum Operations Safety, Health and Environment Rules and Regulations of 2020 (“UPOSHERR”).

An employee was designated as the Company’s Safety Officer to oversee the safe conduct of daily business operations. The appointed Safety Officer completed the required health and safety trainings to qualify for the position and was later accredited by the DOE. These trainings are: (1) Basic Occupational Safety and Health (“BOSH”) Training, (2) Standard First Aid (“SFA”) Training and Basic Life Support (“BLS”) with Automatic External Defibrillator (“AED”), (3) Basic Offshore Induction and Emergency Training (“BOSIET”) with Compressed Air Emergency Breathing System (“CA-EBS”), and (4) Institution of Occupational Safety and Health (“IOSH”) Training.

The Company provided employees with emergency go bags, which are crucial for navigating disasters like earthquakes, fires, and typhoons. These lightweight kits contain essential survival items, including a first-aid kit, potable water, crackers, and canned food, and are replenished as needed. Industrial-grade hard hats, classified as Personal Protective Equipment (“PPE”), were also distributed to employees to help prevent head injuries during emergencies. Additionally, first aid kits containing basic wound care items and over-the-counter medicines for minor illnesses are made available at the office and during fieldwork.

On February 20, 2025, the annual physical examination was conveniently held within the office building for all employees of the Company. Medical professionals from Newport X-ray, Laboratory & Medical Center Inc. set up temporary testing sites and conducted routine check-ups, including physical examination, blood chemistry test, urinalysis, ECG, pap smear, x-ray, optical assessment, and physician consultations. Additionally, an on-site flu vaccination program was successfully conducted on June 20, 2025, providing vaccinations to all employees and their registered dependents. Nurses conducted vital signs assessments and medical evaluations to ensure that employees and their dependents were medically fit for vaccination prior to the administration of the flu vaccine shot. This reflects the Company's commitment to employee health and well-being ensuring everyone has easy access to essential health screenings.

In compliance with R.A. 9514 also known as Revised Fire Code of the Philippines of 2008, the Company participated in the annual Fire Seminar and Drill Evacuation Exercise organized by the office building management. The exercise was held on June 20, 2025, in coordination with the Inspectors of Bureau of Fire Protection of Mandaluyong City, Barangay Highway Hills Emergency and Fire Brigade Team. By actively engaging in emergency drills, the Company demonstrates its commitment to ensuring a safe environment for employees and effectively responding to emergencies.

KNOWN TRENDS, EVENTS OR UNCERTAINTIES

There is no known event that would trigger direct or contingent financial obligation that is material to the Company, including any default or acceleration of an obligation that has not been booked, although the Company could be contingently liable for lawsuits and claims arising from the ordinary course of business of which no material claims have been identified.

Other than what have been discussed above, there are no known significant trends, demands, commitments or uncertainties that will result in or that are reasonably likely to result in the Company's liquidity increasing or decreasing in a material way. There are no material commitments for capital expenditures not reflected in the Company's financial statements. Likewise, there is no significant seasonality or cyclicality in its business operations that would have a material effect on the Company's financial condition or results of operations. There were no other significant elements of income or loss that did not arise from the Company's continuing operations. There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationship of the Company with unconsolidated entities or other persons created during the reporting period. Finally, there are no line items in the Company's financial statements not already explained for causes either above or in the Notes to the Consolidated Financial Statements other than due to the usual period-to-period fluctuations in amounts that are natural in every business operations.

PART II--OTHER INFORMATION

The issuer may, at its option, report under this item any information not previously reported in a report on SEC Form 17-C. If disclosure of such information is made under this Part II, it need not be repeated in a report on Form 17-C which would otherwise be required to be filed with respect to such information or in a subsequent report on Form 17-Q.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

DANIEL STEPHEN P. CARLOS
President

MARK RAYMOND H. RILLES
Finance Controller

Date: November 14, 2025

PXP ENERGY CORPORATION AND SUBSIDIARIES

UNAUDITED
CONSOLIDATED
FINANCIAL STATEMENTS
September 30, 2025

PXP ENERGY CORPORATION AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(Amounts in Thousands)

ASSETS	September 30, 2025 (Unaudited)	December 31, 2024 (Audited)
Current Assets		
Cash and cash equivalents	**57,488**	91,414
Trade and other receivables	**24,500**	17,206
Inventories	**-**	7,077
Other current assets - net	**8,148**	8,994
Total Current Assets	**90,136**	124,691
Noncurrent Assets		
Deferred oil and gas exploration costs	**2,826,367**	2,799,390
Property, Equipment and Right-of-Use Assets - net	**4,915**	4,262
Goodwill	**254,397**	254,397
Other noncurrent assets	**8,538**	7,819
Total Noncurrent Assets	**3,094,217**	3,065,868
TOTAL ASSETS	**3,184,353**	3,190,559

LIABILITIES AND EQUITY		
Current Liabilities		
Trade and other payables	**20,687**	19,768
Notes payable	**104,753**	69,414
Income tax payable	**7**	96
Lease liability - current portion	**876**	810
Total Current Liabilities	**126,323**	90,088
Noncurrent Liabilities		
Provision for losses	**208,905**	207,645
Deferred income tax liabilities - net	**92,806**	92,783
Provision for rehabilitation and decommissioning costs	**79,677**	79,478
Lease liability - net of current portion	**2,922**	3,338
Other noncurrent liabilities	**12,745**	12,746
Total Noncurrent Liabilities	**397,055**	395,990
Total Liabilities	**523,378**	486,078
Equity		
Capital Stock - P1 par value	**2,390,244**	1,960,000
Additional paid-in capital	**3,925,927**	2,816,545
Equity reserves	**(724,606)**	411,549
Deficit	**(3,616,573)**	(3,578,653)
Cumulative translation adjustment on foreign subsidiaries	**573,927**	574,634
	2,548,919	2,184,075
Non-controlling Interests	**112,056**	520,406
Total Equity	**2,660,975**	2,704,481
TOTAL LIABILITIES AND EQUITY	**3,184,353**	3,190,559

PXP ENERGY CORPORATION AND SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF INCOME
(Amounts in Thousands, except Loss Per Share)

	For the 9-Month Period Ended September 30	
	2025	2024
PETROLEUM REVENUES	**₱ 50,347**	₱ 64,774
COSTS AND EXPENSES		
Petroleum production costs	**40,685**	41,171
General and administrative expenses	**43,554**	37,012
	84,239	78,183
OTHER INCOME (CHARGES)		
Interest expense - net	**(4,922)**	(2,342)
Foreign exchange gain (loss) - net	**(1,175)**	1,018
Others - net	**283**	-
	(5,814)	(1,324)
LOSS BEFORE INCOME TAX	**(39,706)**	(14,733)
PROVISION FOR CURRENT INCOME TAX	**88**	112
NET LOSS	**(₱ 39,794)**	(₱ 14,845)
Net Income (Loss) Attributable to:		
Equity holders of the Parent Company	**(₱ 37,920)**	(₱ 16,701)
Non-controlling interests	**(1,874)**	1,856
	(₱ 39,794)	(₱ 14,845)
BASIC/DILUTED LOSS PER SHARE	**(₱ 0.0159)**	(₱ 0.0085)
CORE NET LOSS	**(₱ 32,822)**	(₱ 17,824)

PXP ENERGY CORPORATION AND SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF INCOME
(Amounts in Thousands, except Loss Per Share)

	For the 3rd Quarter Ended September 30	
	2025	2024
PETROLEUM REVENUES	**₱ 17,133**	₱ 21,857
COSTS AND EXPENSES		
Petroleum production costs	**12,047**	14,970
General and administrative expenses	**17,184**	14,161
	29,231	29,131
OTHER INCOME (CHARGES)		
Interest expense - net	**(1,857)**	(1,108)
Foreign exchange gain (loss) - net	**(2,110)**	775
Others - net	**9**	-
	(3,958)	(333)
LOSS BEFORE INCOME TAX	**(16,056)**	(7,607)
PROVISION FOR CURRENT INCOME TAX	**17**	40
NET LOSS	**(₱ 16,073)**	(₱ 7,647)
Net Loss Attributable to:		
Equity holders of the Parent Company	**(₱ 15,166)**	(₱ 7,538)
Non-controlling interests	**(907)**	(109)
	(₱ 16,073)	(₱ 7,647)
BASIC/DILUTED LOSS PER SHARE	**(₱ 0.0063)**	(₱ 0.0038)
CORE NET LOSS	**(₱ 11,694)**	(₱ 8,349)

PXP ENERGY CORPORATION AND SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(Amounts in Thousands)

	For the 9-Month Period Ended September 30	
	2025	2024
NET LOSS	**(₱ 39,794)**	(₱ 14,845)
OTHER COMPREHENSIVE INCOME (LOSS)		
Gain on translation of foreign subsidiaries	**17,044**	28,817
TOTAL COMPREHENSIVE INCOME	**(₱ 22,750)**	₱ 13,972
Total Comprehensive Income (loss) Attributable to:		
Equity holders of the Parent Company	**(₱ 38,627)**	₱ 4,924
Non-controlling interests	**15,877**	9,048
	(₱ 22,750)	₱ 13,972

PXP ENERGY CORPORATION AND SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
(Amounts in Thousands)

	Equity Attributable to Equity Holders of the Parent Company							
	Capital Stock	Additional paid in capital	Equity Reserves	Retained Earnings (Deficit)	Cumulative Translation Adjustment on Foreign Subsidiaries	Subtotal	Non-controlling Interests	Total
Balances at January 1, 2024	**₱ 1,960,000**	**₱ 2,816,545**	**₱ 411,549**	**(₱ 3,547,773)**	**₱ 497,597**	**₱ 2,137,918**	**₱ 496,269**	**₱ 2,634,187**
Net Income (loss) for the period	-	-	-	(16,701)	-	(16,701)	1,856	(14,845)
Other comprehensive loss:								
Gain on translation of foreign subsidiaries	-	-	-	-	21,625	21,625	7,192	28,817
Total comprehensive Income (loss) for the period	-	-	-	(16,701)	21,625	4,924	9,048	13,972
Balance at September 30, 2024	**₱ 1,960,000**	**₱ 2,816,545**	**₱ 411,549**	**(₱ 3,564,474)**	**₱ 519,222**	**₱ 2,142,842**	**₱ 505,317**	**₱ 2,648,159**

	Equity Attributable to Equity Holders of the Parent Company							
	Capital Stock	Additional paid in capital	Equity Reserves	Retained Earnings (Deficit)	Cumulative Translation Adjustment on Foreign Subsidiaries	Subtotal	Non-controlling Interests	Total
Balances at January 1, 2025	**₱ 1,960,000**	**₱ 2,816,545**	**₱ 411,549**	**(₱ 3,578,653)**	**₱ 574,634**	**₱ 2,184,075**	**₱ 520,406**	**₱ 2,704,481**
Additional share subscription, net of transaction costs	**430,244**	**1,109,382**	**(1,136,155)**	**-**	**-**	403,471	(424,227)	(20,756)
Net income (loss) for the period	-	-	-	(37,920)	-	(37,920)	(1,874)	(39,794)
Other comprehensive income (loss):								
Gain (loss) on translation of foreign subsidiaries	-	-	-	-	(707)	(707)	17,751	17,044
Total comprehensive loss for the period	430,244	1,109,382	(1,136,155)	(37,920)	(707)	364,844	(408,350)	(43,506)
Balance at September 30, 2025	**₱ 2,390,244**	**₱ 3,925,927**	**(₱ 724,606)**	**(₱ 3,616,573)**	**₱ 573,927**	**₱ 2,548,919**	**₱ 112,056**	**₱ 2,660,975**

PXP ENERGY CORPORATION AND SUBSIDIARIES
UNAUDITED CONSOLIDATED STATEMENTS OF CASH FLOWS
(Amount in Thousands)

	For the 9-Month Period Ended September 30	
	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Loss before tax	**(₱ 39,706)**	(₱ 14,733)
Adjustments for:		
Unrealized foreign exchange gain - net	**1,175**	(1,018)
Depreciation	**384**	356
Interest expense - net	**4,922**	2,342
Operating loss before working capital changes	**(33,225)**	(13,053)
Decrease (Increase) in:		
Accounts receivable	**(7,294)**	(22,119)
Inventories	**7,077**	10,489
Other current assets	**846**	(4,056)
Increase (Decrease) in:		
Accounts payable and accrued liabilities	**339**	(101)
Provision for losses and other liabilities	**1,460**	2,942
Net cash generated by (used in) operations	**(30,797)**	(25,898)
Interest expense paid - net	**(4,278)**	(2,147)
Income taxes paid	**(177)**	(304)
Net cash used in operating activities	**(35,252)**	(28,349)
CASH FLOWS FROM INVESTING ACTIVITY		
Increase in Deferred oil and gas exploration costs and others	**(13,340)**	(16,881)
Net cash used in investing activities	**(13,340)**	(16,881)
CASH FLOWS FROM FINANCING ACTIVITIES		
Payments for issuance of new shares and acquisition of non-controlling interest	**(14,165)**	-
Proceeds from issuance of notes payable	**34,245**	-
Net cash provided by financing activities	**20,080**	-
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	**(5,414)**	138
NET DECREASE IN CASH AND CASH EQUIVALENTS	**(33,926)**	(45,092)
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	**91,414**	145,149
CASH AND CASH EQUIVALENTS AT END OF PERIOD	**₱ 57,488**	₱ 100,057

PXP ENERGY CORPORATION AND SUBSIDIARIES

SCHEDULE OF NOTES PAYABLE

September 30, 2025

(In thousand Pesos)

Current portion (Short term)	₱	104,753
Non-current portion (Long - term)		-
Total	₱	104,753

SCHEDULE OF NOTES PAYABLE

September 30, 2025

(In thousand Pesos)

Kirtman Limited	₱	52,377
Philex Mining Corporation		52,377
Total	₱	104,753

PXP ENERGY CORPORATION AND SUBSIDIARIES

AGING OF ACCOUNTS RECEIVABLE

September 30, 2025

(In Thousand Pesos)

	0-30 days	31-60 days	61-90 days	over 90 days	Total
The Galoc Production Company	₱ 14,892	₱ -	₱ -	₱ -	₱ 14,892
The Philodrill Corporation	3,364	-	-	-	3,364
Forum Pacific, Inc.	-	-	-	4,825	4,825
Others	1,419	-	-	-	1,419
	₱ 19,675	₱ -	₱ -	₱ 4,825	₱ 24,500

PXP ENERGY CORPORATION AND SUBSIDIARIES
FINANCIAL SOUNDNESS INDICATORS
September 30, 2025

	September 30, 2025	December 31 2024
Current Ratio	**0.71**	1.38
Debt-to-equity Ratio	**0.20**	0.18
Asset-to-equity Ratio	**1.20**	1.18
	September 30, 2025	June 30, 2024
Interest Rate Coverage ratio	**7.10**	5.39
Net Income Ratio	**(0.79)**	(0.23)

NOTES TO UNAUDITED INTERIM CONDENSED CONSOLIDATED FINANCIAL STATEMENTS
SEPTEMBER 30, 2025

1. **Summary of Significant Accounting Policies and Financial Reporting Practices**

Basis of Preparation
The unaudited interim condensed consolidated financial statements of PXP Energy Corporation and Subsidiaries (PXP or the Group) as at September 30, 2025 and December 31, 2024, and for the nine-month period ended September 30, 2025 have been prepared in accordance with Philippine Accounting Standards (PAS) 34, Interim Financial Reporting. The unaudited interim condensed consolidated financial statements of the Group do not include all the information and disclosures required in the annual consolidated financial statements, and should be read in conjunction with the Group's annual consolidated financial statements as at December 31, 2024.

The unaudited interim condensed consolidated financial statements of the Group have been prepared on a historical cost basis. The unaudited interim condensed consolidated financial statements are presented in Philippine Peso (Peso), which is the Parent Company's functional currency. All amounts are rounded to the nearest thousands except when otherwise indicated.

Statement of Compliance
The preparation of the financial statements in compliance with the accounting principles generally accepted in the Philippines requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. The estimates and assumptions used in the accompanying unaudited interim condensed consolidated financial statements are based upon management's evaluation of relevant facts and circumstances as of the date of the interim condensed consolidated financial statements. Actual results could differ from such estimates.

Basis of Preparation
The consolidated financial statements of the Group have been prepared on a historical cost basis except for Available-for-sale (AFS) financial assets that are carried at fair value. The consolidated financial statements are presented in Philippine Peso (Peso), which is the Parent Company's functional and reporting currency, rounded to the nearest thousand (₱'000) except when otherwise indicated.

Statement of Compliance
The consolidated financial statements of the Group have been prepared in accordance with Philippine Financial Reporting Standards (PFRS).

Changes in Accounting Policies and Disclosures
The accounting policies adopted are consistent with those of the previous financial year and that the Group does not have new accounting pronouncements to adopt starting January 1, 2025. The Group has not early adopted any standard, interpretation or amendment that has been issued but is not yet effective.

Pronouncements issued but not yet effective are listed below. The Group does not expect that the future adoption of the said pronouncements will have a significant impact on its consolidated financial statements. The Group intends to adopt the following pronouncements when they become effective.

Effective beginning on or after January 1, 2026
- Amendments to PFRS 9 and PFRS 7, *Classification and Measurement of Financial Instruments*
- Annual Improvements to PFRS Accounting Standards - Volume 11
  - Amendments to PFRS 1, *Hedge Accounting by a First-time Adopter*
  - Amendments to PFRS 7, *Gain or Loss on Derecognition*
  - Amendments to PFRS 9, *Lessee Derecognition of Lease Liabilities* and *Transaction Price*
  - Amendments to PFRS 10, *Determination of a 'De Facto Agent'*
  - Amendments to PAS 7, *Cost Method*

Effective beginning on or after January 1, 2027
- PFRS 18, *Presentation and Disclosure in Financial Statements*
- PFRS 19, *Subsidiaries without Public Accountability*

Deferred effectivity
- Amendments to PFRS 10, *Consolidated Financial Statements*, and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

2. Management's Use of Significant Judgments, Accounting Estimates and Assumptions

The preparation of the unaudited interim condensed consolidated financial statements in accordance with PFRS requires the management of the Group to exercise judgments, make accounting estimates and use assumptions that affect the reported amounts of assets, liabilities, income and expenses, and disclosure of any contingent assets and contingent liabilities. Future events may occur which will cause the assumptions used in arriving at the accounting estimates to change. The effects of any change in accounting estimates are reflected in the unaudited interim condensed consolidated financial statements as they become reasonably determinable.

Accounting assumptions, estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

<u>Judgments</u>
In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimations, which have the most significant effects on amounts recognized in the unaudited interim condensed consolidated financial statements:

<u>Classification of financial instruments</u>
The Group exercises judgment in classifying financial instruments in accordance with PAS 39. The Group classifies a financial instrument, or its components, on initial recognition as a financial asset, a financial liability or an equity instrument in accordance with the substance of the contractual arrangement and the definition of a financial asset, a financial liability or an equity instrument. The substance of a financial instrument, rather than its legal form, governs its classification in the Group's unaudited interim condensed consolidated balance sheets.

Valuation of financial assets and financial liabilities
The Group carries certain financial assets and financial liabilities (i.e., AFS financial assets) at fair value, which requires the use of accounting estimates and judgment. At initial recognition, the fair value of quoted AFS, financial assets is based on its quoted price in an active market while the value of quoted AFS financial assets is based on its quoted price in an active market while the fair value of unquoted AFS financial assets is based on the latest available transaction price. The amount of changes in fair value would differ if the Group utilized a different valuation methodology. Any change in fair value of these financial assets and financial liabilities would affect the profit and loss or other comprehensive income.

3. Financial Risk Management Objectives and Policies

The Group's financial instruments consist of cash and cash equivalents, accounts receivable, accounts payable and accrued liabilities and advances from related parties. The main purpose of these financial instruments is to provide financing for the Group's operations.

Risk Management Structure
The Board of Directors (BOD) is mainly responsible for the overall risk management approach and for the approval of risk strategies and principles of the Group.

Financial Risks
The main risks arising from the Group's financial instruments are credit risk, liquidity risk and market risk. The market risk exposure of the Group can be further be classified to foreign currency risk and equity price risk. The BOD reviews and approves policies for managing these risks.

Credit risk
Credit risk is such risk where the Group could incur a loss if its counterparties fail to discharge their contractual obligations. The Group manages credit risk by doing business mostly with affiliates and recognized creditworthy third parties.

With respect to credit risk arising from the financial assets of the Group, which comprise of cash in banks and cash equivalents and accounts receivables, the Group's exposure to credit risk could arise from the default of the counterparty, having a maximum exposure equal to the carrying amount of the instrument.

The table below summarizes the Group's maximum exposure to credit risk for the Group's financial assets as of September 30, 2025:

Cash in banks and cash equivalents	
Cash in banks	₱22,481
Short-term deposits	35,007
Accounts receivable	
Trade	18,256
Other receivables	6,244
	₱81,988

The following tables show the credit quality of the Group's financial assets by class as of September 30, 2025 based on the Group's credit evaluation process.

	Neither Past Due nor Impaired		Past Due and Individually Impaired	
	High-Grade	Standard		Total
Cash and cash equivalents, excluding cash on hand:				
Cash in banks	₱22,481	₱–	₱–	₱22,481
Short-term deposits	35,007	–	–	35,007
Accounts receivable:				
Trade	–	18,256	–	18,256
Others	–	1,419	4,825	6,244
Total	₱57,488	₱19,675	₱4,671	₱81,988

Credit quality of cash and cash equivalents, and accounts receivables is based on the nature of the counterparty and the Group's evaluation process.

High-grade credit quality financial assets pertain to financial assets with insignificant risk of default based on historical experience. Standard-grade credit quality financial assets include quoted and unquoted equity investments that can be readily sold to a third party.

Aside from above, the Group has no past due but not impaired financial assets as of September 30, 2025.

Liquidity risk
Liquidity risk is such risk where the Group is unable to meet its payment obligations when they fall due under normal and stress circumstances. The Group's objective is to maintain a balance between continuity of funding and flexibility, and addresses its liquidity concerns through advances from its affiliates.

The following tables summarize the maturity profile of the Group's financial assets that can be used by the Group to manage its liquidity risk and the maturity profile of the Group's financial liabilities, based on contractual undiscounted repayment obligations (including interest) as of September 30, 2025:

	On Demand	Less than 3 Months	3 to12 Months	Over 12 Months	Total
Loans and receivables:					
Cash in banks	₱22,481	₱–	₱–	₱–	₱22,481
Short-term deposits	–	35,007	–	–	35,007
Accounts receivable	–	19,675	–	4,825	24,500
Total undiscounted financial assets	₱22,481	₱54,682	₱–	₱4,825	₱81,988

	On Demand	Less than 3 Months	3 to12 Months	Over 12 Months	Total
Trade and other payables:					
Trade	₱9,073	₱–	₱–	₱–	₱ 9,073
Accrued expenses	–	1,682	–	–	1,682
Other nontrade liabilities	–	–	10,815	–	10,815
Notes payable	–	–	104,753	–	104,753
Total undiscounted financial liabilities	₱9,073	₱1,682	₱115,568	₱–	₱126,323

Market Risk

Foreign currency risk

Foreign currency risk is the risk where the value of the Group's financial instruments diminishes due to unfavorable changes in foreign exchange rates. The Parent Company's transactional currency exposures arise from cash in banks. Net foreign exchange gains amounting to ₱806 thousand arising from the translation of these foreign currency-denominated financial instruments were recognized by the Parent Company for the period ended September 30, 2025. As at September 30, 2025, the closing rate is ₱58.20 to US$1.

The Parent Company's foreign currency-denominated monetary assets and liabilities as of September 30, 2025 follow:

	US$	Peso Equivalent
Assets		
Cash and cash equivalents	$661	₱38,459
Liabilities		
Notes payable	(1,800)	(104,753)
Net monetary assets	($1,139)	(₱66,294)

The table below summarizes the impact on income (loss) before income tax of reasonably possible changes in the exchange rates of US dollar against the Peso:

US Dollar Appreciates/Depreciates	Effect on Income (Loss) Before Income Tax
Appreciate by 6%	(₱2,308)
Depreciate by 6%	2,308

There is no other impact on the Parent Company's equity other than those already affecting profit or loss.

Equity price risk

There is no equity price risk as the Group does not own investment in quoted shares of stock.

4. **Segment Information**

The Group currently has two reportable segments namely oil and gas activities and coal mining activities.

Operating results of the Group is regularly reviewed by the Group's chief operating decision maker for the purpose of making decisions about resource allocation and performance assessment. Segment performance is evaluated based on net income (loss) for the year, and earnings or losses before interest, taxes and depreciation and depletion (EBITDA).

Net income (loss) for the year is measured consistent with the consolidated net income (loss) in the consolidated statements of income. EBITDA is measured as net income (loss) excluding financing costs, interest income, provision for income tax, and depreciation and depletion of property and equipment.

EBITDA is not a uniform or legally defined financial measure. EBITDA is presented because the Group believes it is an important measure of its performance and liquidity. The Group relies primarily on the results in accordance with PFRS and uses EBITDA only as supplementary information.

Core income (loss) is the performance of the operating segment based on a measure of recurring profit. This measurement basis is determined as profit attributable to equity holders of the Parent Company excluding the effects of non-recurring items, net of their tax effects. Non-recurring items represent gains (losses) that, through occurrence or size, are not considered usual operating items, such as foreign exchange gains (losses), gains (losses) on disposal of investments, and other non-recurring gains (losses).

The Group's capital expenditures include incurrence of deferred oil and gas exploration costs and acquisitions of property and equipment.

The Group has only one geographical segment as the Group operates and derives all its revenue from domestic operations. The Group's assets are principally located in the Philippines. Thus, geographical business operation is not required.

For the Group's oil and gas activities, 100% of crude oil production from SC 14C-1 during the first 9 months of 2025 was from the Galoc oil field. Crude oil liftings from the Galoc field were sold to a customer in Southeast Asia.

The following tables present revenue and profit, including the computation of EBITDA as derived from the consolidated net income, and certain asset and liability information regarding the Group's operating segments.

As of September 30, 2025:

	Oil and Gas	Coal	Eliminations	Total
Consolidated Revenue				
External customers	₱50,347	₱–	₱–	₱50,347
Results				
EBITDA	(32,837)	(4)	(1,559)	(34,400)
Depreciation and depletion	(384)	–	–	(384)
Provision for income tax	(88)	–	–	(88)
Interest expense - net	(4,968)	–	46	(4,922)
Consolidated net loss	(₱38,277)	(₱4)	(₱1,513)	(₱39,794)
Core net loss				(₱32,822)
Consolidated total assets	₱8,624,795	₱431	(₱5,440,873)	₱3,184,353
Consolidated total liabilities	₱904,607	₱736,315	(₱1,117,540)	₱523,382

As of September 30, 2024:

	Oil and Gas	Coal	Eliminations	Total
Consolidated Revenue				
External customers	₱64,774	₱–	₱–	₱64,774
Results				
EBITDA	(₱9,744)	(₱20)	(₱2,272)	(₱12,036)
Depreciation and depletion	(356)	–	–	(222)
Provision for income tax	(112)	–	–	(72)
Interest expense - net	(2,229)	–	(112)	(1,234)
Consolidated net loss	(₱12,441)	(₱20)	(₱2,384)	(₱14,845)
Core net loss				(₱17,824)
Consolidated total assets	₱7,098,600	₱479	(₱3,999,879)	₱3,099,200
Consolidated total liabilities	₱886,522	₱736,353	(₱1,171,834)	₱451,041

The table below shows the Group's reconciliation of core net loss to the consolidated net loss for the nine-month period ended September 30, 2025 and 2024.

	2025	2024
Core net loss	**(₱32,822)**	(₱17,824)
Non-recurring items:		
Net foreign exchange gain (loss)	**(1,145)**	1,057
Non-recurring expenses	**(3,953)**	–
Net loss attributable to equity holders of the Parent Company	**(₱37,920)**	(16,767)
Net income (loss) attributable to non-controlling interests	**(1,874)**	1,922
Consolidated net loss	**(₱39,794)**	(₱14,845)

5. **Related Party Transactions**

Related party relationships exist when the party has the ability to control, directly or indirectly, through one or more intermediaries, or exercise significant influence over the other party in making financial and operating decisions. Such relationships also exist between and/or among entities which are under common control with the reporting entity and its key management personnel, directors or stockholders.

In considering each possible related party relationship, attention is directed to the substance of the relationships, and not merely to the legal form.

Companies within the Group in the regular conduct of business, enters into transactions with related parties which consists of advances, loans, reimbursement of expenses, regular banking transactions and management and administrative service agreements.

Intercompany transactions are eliminated in the consolidated financial statements.

The Group's significant related party transactions, which are under terms that are no less favorable than those arranged with third parties, are as follows:

a. In March 2022, PXP made interest bearing advances to FEC amounting to US$199. These advances bear interest at an annual rate of 3.5% plus LIBOR (or if unavailable, its corresponding replacement benchmark) payable quarterly in arrears. The proceeds of these advances were used by FEC to partially fund its share of the exploration expenditures in SC 72.

   On June 30, 2023, the LIBOR publication was discontinued. The parties then agreed to use Secured Overnight Financing Rate (SOFR) as benchmark starting third quarter of 2023.

   Additional advances amounting to US$71 and US$155 as of September 30, 2025 and December 31, 2024, respectively, were made by PXP to FEC under the same terms above to finance FEC's working capital and funding requirements in FEL. On June 30, 2025, the maturity date was extended from June 30, 2025 to August 31, 2025.

   In July 2025, PXP increased its direct shareholding in FEC from 78.39% to 81.25%. The additional interest was acquired through a subscription to 131,563,725 new ordinary shares of FEC through the conversion its outstanding loan principal of $1.0 million plus accrued interest of $147 thousand (or a total consideration of US$$1.2 million) into new shares of FEC.

   As at September 30, 2025 and December 31, 2024, advances to FEC amounted to ₱ nil and ₱45,709, respectively. Interest income earned during the period ended September 30, 2025 and 2024 amounted to ₱2,348 and ₱2,647, respectively. These were eliminated upon consolidation.

b. BEMC has significant transactions with related parties involving advances to provide funding for BEMC's exploration and development activities.

   On August 5, 2019, a deed of assignment was entered by BEMC and PXP transferring BEMC's advances from PMC to PXP amounting to ₱737,815. On December 19, 2019, PXP paid the advances from PMC amounting ₱737,815.

In 2021, BEMC partially paid advances from PXP amounting to ₱1,500. As at September 30, 2025 and December 31, 2024, advances from PXP amounted to ₱736,315 and ₱736,313, respectively. These were eliminated upon consolidation.

c. On March 9, 2022, PXP entered into an agreement of promissory note with PMC and Kirtman Limited (Kirtman), both shareholders of PXP. The drawdown amount is both US$375, with principal payable on demand by PMC and Kirtman and at an interest rate of LIBOR plus 3.5% margin per annum payable quarterly in arrears.

   On March 16, 2022, PXP entered into an agreement of promissory note with PMC and Kirtman. The drawdown amount is both US$225, with terms similar to the first promissory note. The proceeds of the notes payable were used to partially fund the Group's exploration expenditures in SC 72 and SC 75.

   On June 30, 2023, the LIBOR publication was discontinued. The parties then agreed to use SOFR as benchmark starting third quarter of 2023.

   In August 2025, PXP obtained additional loans from PMC and Kirtman amounting to US$300 each, with terms similar to the first promissory note. The proceeds of these notes will be used to partially fund the Group's working capital at least during the next 12 months.

   Interest expense incurred during the nine-month period ended September 30, 2025 and 2024 amounted to ₱5,749 and ₱4,589, respectively. Notes payable amounted to ₱104,753 and ₱69,414 as at September 30, 2025 and December 31, 2024, respectively. Interest payable amounted to ₱720 and ₱316 as at September 30, 2025 and December 31, 2024, respectively.

d. Material related party transactions (RPT) refer to any related party transaction/s, either individually, or in aggregate over a 12-month period with the same related party, amounting to 10% or higher of the Group's total consolidated assets based on its latest audited financial statements.

   All individual material RPT shall be endorsed by the Corporate Governance and Related Party Transactions committee for approval by at least two-thirds vote of the BOD, with all independent directors voting to approve the material RPT. The material RPT may be further submitted to the stockholders and final approval when the BOD deems it necessary.

   Aggregate RPT transactions within a 12-month period that meets or breaches the materiality threshold shall require endorsement by the same committee for approval of the BOD.

6. Basic/Diluted Earnings Per Share

Basic/diluted loss per share for the period ended September 30, 2025 and 2024 is computed as follows (amounts in thousands except per share values):

	2025	2024
Net loss attributable to equity holders of the Parent Company	**(₱37,920)**	(₱16,701)
Divided by weighted average number of common shares issued during the period	**2,390,244**	1,960,000
Basic and diluted loss per share	**(₱0.0159)**	(₱0.0085)

As of September 30, 2025, the Parent Company does not have any potentially dilutive stocks.

7. Seasonality and Cyclicality of Interim Operation

There is no significant seasonality or cyclicality in its business operation that would have material effect on the Company’s financial condition or results of operation.